

FINANCIAL ANALYSIS REPORT

United Spirits Limited (Diageo India)

A Five Year Review of Financial Statements, Trends and Ratios — FY2021 to FY2026

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1. Introduction and Company Overview

I chose United Spirits Limited (USL) for this analysis because it gives me a chance to study a market leading, asset light consumer company from a BFSI adjacent lens the same lens I want to bring to credit and equity research roles after my MBA. USL is India's largest spirits company by volume, operating under the Diageo India umbrella, with a portfolio spanning prestige and above prestige brands such as Johnnie Walker, Black Dog, Signature and McDowell's No.1. The company is majority owned by Diageo plc, the London-listed global drinks major, which gives USL access to international brands, sourcing and governance standards while it continues to be run and reported as a separately listed Indian entity.

For this exercise, I worked directly off the financial statements, common-size statements, comparative (YoY) statements, cash flow statement, ratio workings and shareholding pattern that I had built out in Excel, covering FY2021 through FY2026 (year ending 31 March). All figures below are in ₹ Crores unless stated otherwise, and all ratios are computed exactly as defined in my workbook. My objective was to move beyond simply reading the numbers and to build a point of view on: (a) how profitability has evolved, (b) how the balance sheet and working-capital profile has changed, (c) what the ratio trends say about liquidity, leverage and efficiency, and (d) whether cash generation supports the profit story.

1.1 Ownership Snapshot

Before getting into the numbers, the shareholding pattern is worth noting because it frames who the key stakeholders are and how much free float genuinely trades in the market:

Shareholder Category	Holding (%)
Promoter Group (Diageo)	34.6%
Foreign Institutional Investors (FII)	34.3%
Indian Public	8.3%
Insurance Companies	8.3%
Mutual Funds / UTI	8.2%
Financial Institutions / Banks	2.0%
Others	2.5%
Bodies Corporate	1.4%
Non-Resident Indians (NRIs)	0.4%

What stands out to me here is that promoter and FII holdings together account for roughly 69% of the company a fairly concentrated, institutionally-owned stock with domestic retail and mutual fund participation making up the balance. That concentration is consistent with a company that behaves like a steady compounder rather than a name driven by retail momentum.

2. Income Statement and Profitability Trend

The income statement tells a two part story over my six-year window: a revenue dip through FY2023-FY2024, followed by a steady recovery, sitting underneath a profitability trend that has improved every single year without exception.

Particulars (₹ Cr)	FY22	FY23	FY24	FY25	FY26
Revenue from Operations	30,773	27,578	25,389	26,780	27,781
EBITDA	1,533	1,493	2,043	2,484	2,872
EBITDA Margin (%)	5.0%	5.4%	8.0%	9.3%	10.3%
EBIT	1,244	1,222	1,779	2,210	2,589
PBT	1,000	1,289	1,686	2,056	2,340
PAT	840	1,052	1,312	1,558	1,830
Net Profit Margin (%)	2.7%	3.8%	5.2%	5.8%	6.6%
EPS (₹)	42.03	52.65	65.66	77.97	91.59

The revenue line fell from ₹30,773 Cr in FY22 to ₹25,389 Cr in FY24 — a decline of roughly 17.5% over two years before recovering to ₹27,781 Cr in FY26. What I find more important than the top line dip, though, is that EBITDA moved in the opposite direction over the same period: EBITDA margin nearly doubled from 5.0% in FY22 to 10.3% in FY26. Reading the expense lines alongside this, excise duty (the single largest cost line for any Indian liquor company, since it is largely a pass through government levy) fell as a share of revenue even as advertisement and sales promotion spend rose consistently — advertising spend grew from ₹689 Cr in FY22 to ₹1,295 Cr in FY26, an 88% increase, which tells me management chose to reinvest margin gains into brand building rather than let them flow straight to the bottom line.

PAT has compounded from ₹840 Cr in FY22 to ₹1,830 Cr in FY26 — more than doubling in four years, a CAGR of about 21.4%, despite revenue being roughly flat over the same window. This is a classic margin-led earnings story rather than a volume led one, and it is the single most important takeaway from the P&L: USL has been getting structurally more profitable per rupee of sales, not simply selling more.

EPS has followed profit growth almost one for one, rising from ₹42.03 to ₹91.59 over the period again, more than doubling. Interestingly, the P/E multiple (computed in my workbook against a market price of ₹2,964) has compressed from about 70.5x in FY22 to 32.4x in FY26. In my reading, this is simply the market catching up: the price did not run up nearly as fast as earnings did, so the stock has effectively become cheaper on a trailing-earnings basis even though the operating story has improved.

3. Balance Sheet Analysis

USL's balance sheet has grown meaningfully in size while staying conservatively financed that combination is what I looked for most closely, given my interest in credit-side analysis.

Particulars (₹ Cr)	FY22	FY23	FY24	FY25	FY26
Total Equity	4,893	5,945	6,963	7,879	8,721
Total Non Current Liabilities	150	93	152	350	346
Total Current Liabilities	3,681	3,534	3,628	4,489	4,797
Total Assets	8,723	8,880	10,742	12,718	13,864
Cash & Bank Balances	56	158	1,209	1,773	1,882
Trade Receivables (Total)	2,302	2,383	3,128	3,628	3,943
Inventories	2,164	2,230	2,063	2,305	2,659

Total assets grew from ₹8,723 Cr in FY22 to ₹13,864 Cr in FY26 a rise of about 59%, or roughly 12.3% CAGR and almost all of that growth has been funded by internal accruals rather than debt. Total equity nearly doubled over the same period (₹4,893 Cr to ₹8,721 Cr), driven almost entirely by retained reserves and surplus, since share capital has stayed essentially flat. Borrowings, both current and non current, are close to zero throughout the period; the only meaningful liabilities on the debt side are lease liabilities under Ind AS 116, which are operating lease obligations rather than borrowed capital in the traditional sense. For a company of this scale, that is a genuinely low leverage balance sheet.

The part of the balance sheet I want to flag as worth watching is working capital. Cash and bank balances have swelled from a mere ₹56 Cr in FY22 to ₹1,882 Cr in FY26 a huge liquidity buffer has been built up, most visibly from FY24 onward. At the same time, trade receivables have grown from ₹2,302 Cr to ₹3,943 Cr (up 71%) even as revenue over the same period rose only about 4.7% (FY22 to FY26). Receivables are clearly growing faster than sales, which is the first thing I would want to interrogate further if this were a live diligence exercise is USL extending more generous credit terms to distributors to defend market share, or is this simply revenue mix shifting toward channels with longer payment cycles?

Inventories have also grown steadily (₹2,164 Cr to ₹2,659 Cr), broadly in line with the scale of the business, which is less concerning on its own. Taken together, the balance sheet tells me a story of a well-capitalised, low-debt company that is nonetheless tying up a growing amount of capital in working capital a theme I return to in the ratio section below.

4. Ratio Analysis

4.1 Liquidity

Ratio	FY22	FY23	FY24	FY25	FY26
Current Ratio	1.41	1.56	1.93	1.96	2.04
Quick Ratio	0.82	0.93	1.37	1.45	1.49
Cash Ratio	0.01	0.04	0.33	0.39	0.39

Liquidity has strengthened decisively. The current ratio has moved from a somewhat tight 1.41x in FY22 to a comfortable 2.04x in FY26, and the cash ratio in particular has jumped from near zero (0.01x) to 0.39x a direct reflection of the cash pile-up I noted in the balance sheet section. On a pure solvency basis, USL is in a far stronger short-term liquidity position today than it was four years ago.

4.2 Leverage and Coverage

Ratio	FY22	FY23	FY24	FY25	FY26
Total Debt / Equity	0.85	0.67	0.59	0.65	0.62
Long-Term Debt / Equity	0.03	0.02	0.02	0.05	0.04
Interest Coverage (EBIT/Int.)	14.1x	11.8x	23.4x	24.8x	16.4x
Cash Coverage	10.4x	5.5x	12.0x	18.0x	9.4x

As noted, USL's 'debt' is almost entirely lease-liability driven rather than financial borrowings, which is why the long term debt to equity ratio is negligible (0.02x–0.05x) throughout. Interest coverage is comfortably above 10x every single year, and touched nearly 25x in FY25 this is not a company where solvency or debt-servicing capacity is a concern in any scenario I can construct from these numbers.

4.3 Efficiency / Activity

Ratio	FY22	FY23	FY24	FY25	FY26
Days Inventory Outstanding	28.9	35.6	39.3	38.6	42.5
Days Receivables Outstanding	26.5	31.0	37.0	41.2	45.2
Days Payables Outstanding	20.3	26.4	32.6	35.2	38.7
Cash Conversion Cycle (days)	35.1	40.1	43.6	44.7	48.9
Total Asset Turnover	3.65x	3.13x	2.59x	2.28x	2.09x

This is the section that, in my view, tempers the otherwise strongly positive story. The cash conversion cycle has lengthened every year, from 35.1 days in FY22 to 48.9 days in FY26, driven by both slower receivable collection (26.5 to 45.2 days) and slower inventory turnover (28.9 to 42.5 days) payables have stretched too, but not by enough to fully offset the other two. Total asset turnover has fallen from 3.65x to 2.09x over the same period, meaning USL is generating meaningfully less revenue per rupee of assets employed than it used to. Some of this is a natural consequence of the cash build-up sitting on the balance sheet (cash is a non revenue generating asset), but the receivables and inventory trends are a genuine efficiency question I would want to raise in any investment or credit note on this company.

4.4 Profitability and Returns

Ratio	FY22	FY23	FY24	FY25	FY26
Gross Profit Margin	15.1%	18.3%	21.4%	22.9%	23.2%
EBITDA Margin	5.0%	5.4%	8.0%	9.3%	10.3%
Net Profit Margin	2.7%	3.8%	5.2%	5.8%	6.6%
Return on Assets (ROA)	10.8%	12.9%	14.0%	13.9%	14.7%
Return on Equity (ROE)	18.6%	19.4%	20.3%	21.0%	22.0%
Dividend Payout Ratio	0%	0%	22.2%	22.5%	69.0%

Every profitability metric here has improved every year, without a single reversal gross margin, EBITDA margin, net margin, ROA and ROE have all trended up steadily across the full six-year window. ROE crossing 22% in FY26, on a balance sheet with almost no financial leverage, is a genuinely strong number it means the return is coming from operating performance, not from gearing up the balance sheet, which is the higher-quality way to generate it. The dividend history is also telling: USL paid no dividend in FY22 or FY23 while it was rebuilding its balance sheet and clearing legacy issues, resumed modest payouts of around 22% of profit in FY24-FY25, and stepped that up sharply to a 69% payout in FY26 consistent with a company that now views its cash position as more than sufficient for its reinvestment needs.

5. Cash Flow Analysis

Particulars (₹ Cr)	FY22	FY23	FY24	FY25	FY26
Net Cash from Operations	911	577	912	1,606	1,483
Net Cash from Investing	(231)	902	467	(950)	(335)
Net Cash from Financing	(688)	(501)	(439)	(528)	(1,443)
Closing Cash & Equivalents	27	81	1,021	1,150	855

Operating cash flow has been consistently positive throughout the period and has broadly tracked the PAT trend, which is an important quality check it tells me the profit growth I described in Section 2 is being converted into real cash rather than sitting as an accounting number. FY25 in particular saw a strong operating cash inflow of ₹1,606 Cr against a PAT of ₹1,558 Cr, an operating cash to PAT ratio above 1x, which is a healthy sign of earnings quality.

On the financing side, the outflow has grown substantially in FY26 (₹1,443 Cr) largely on account of the sharply higher dividend payment (₹1,263 Cr, versus ₹350 Cr in FY25) that I noted above. Investing cash flow has swung between outflow and inflow years depending on the timing of investment purchases/redemptions and term-deposit placements this is consistent with a company actively managing a growing treasury book rather than making large capex commitments, which lines up with USL's asset-light brand-led business model.

6. Conclusion and My Takeaways

Putting the four statements together, my overall read on United Spirits is that of a business in a clear margin expansion and deleveraging phase: revenue has been roughly flat to modestly growing over six years, but disciplined cost management (especially on the excise duty and mix side) combined with continued brand investment has pushed EBITDA margin from 5% to over 10% and ROE from under 19% to 22%, all funded internally on a balance sheet that carries almost no financial debt.

- Strengths: consistently rising margins and returns every single year; strong and improving liquidity; negligible leverage with very high interest coverage; operating cash flow that tracks reported profit closely, indicating good earnings quality; resumption and sharp step-up of dividends signalling management's confidence in sustainable free cash flow.
- Watch items: the lengthening cash conversion cycle (35 to 49 days) and falling asset turnover (3.65x to 2.09x) suggest working capital is being managed less tightly than before, and receivables growing faster than revenue is worth tracking in future filings; the FY22-FY24 revenue contraction is also a reminder that top line growth has not been the driver of this story so far.
- My personal view, for the purpose of this exercise: if I were framing this as a credit or quality of earnings note, I would flag USL as a low credit risk, high quality earnings name on leverage and coverage metrics, but would want management commentary on why receivable and inventory days have stretched before drawing a firm conclusion on working capital discipline.

This exercise has been useful for me in practising the kind of structured statement-to-ratio-to-narrative analysis that I expect to do routinely in a BFSI risk or credit role – starting from raw financial statements, building common size and comparative views, deriving ratios, and finally stitching them into a single coherent story about the business rather than treating each statement in isolation.